

D105

Intermediate Accounting III

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

Source. Scope from the course's public description in the WGU Institutional Catalog (September 2026); items written from the field's standard body of knowledge. No WGU assessment item, course material or proprietary content is used or reproduced. Not affiliated with or endorsed by Western Governors University.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

Items

1.

An insurance company buys corporate bonds it may sell if interest rates change, but it does not plan to trade them actively. The bonds are rated AA by two agencies. At year-end their fair value is \$15,000 above cost. Where is the \$15,000 unrealized gain reported?

- A. In other comprehensive income.
- B. Nowhere; the bonds stay at amortized cost.
- C. Nowhere, because AA bonds are never adjusted.
- D. In net income.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2.

A beverage company buys 30% of a bottler for \$600,000 and gains significant influence. The bottler, which has 12 plants, reports net income of \$200,000 and pays \$50,000 in dividends. What is the investment's carrying amount at year-end?

- A. \$600,000
- B. \$750,000
- C. \$660,000
- D. \$645,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3. [TRANSFER — reversed stem / different variable]

An investor owns 40% of an investee and uses the equity method. Its investment rose from \$400,000 to \$436,000 during the year, and the investee paid \$30,000 in dividends. What was the investee's net income?

- A. \$120,000
- B. \$60,000
- C. \$90,000
- D. \$48,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4.

A wireless carrier sells a phone with a two-year service plan for \$900. Sold separately, the phone is \$600 and the service is \$400. The carrier's stores were recently remodeled. How much revenue is allocated to the phone?

- A. \$500
- B. \$600
- C. \$360
- D. \$540

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	____	

5. [TRANSFER — reversed stem / different variable]

A \$1,200 contract bundles a product and a service. The product has a standalone price of \$900 and was allocated \$800. What is the standalone price of the service?

- A. \$400
- B. \$1,350
- C. \$450
- D. \$300

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	____	

6.

At year-end a trucking firm's tax depreciation exceeds book depreciation by a cumulative \$60,000, which will reverse in future years. The current tax rate is 21%, and a 25% rate has been enacted for the reversal years. The firm switched tax preparers this year. What deferred tax amount is reported?

- A. A \$15,000 deferred tax asset.
- B. A \$60,000 deferred tax liability.
- C. A \$15,000 deferred tax liability.
- D. A \$12,600 deferred tax liability.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	____	

7. [TRANSFER — reversed stem / different variable]

A company reports a deferred tax liability of \$30,000 using an enacted rate of 25%. What is the cumulative temporary difference?

- A.** \$120,000 deductible temporary difference.
- B.** \$7,500
- C.** \$30,000
- D.** \$120,000 taxable temporary difference.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8.

A manufacturer's pension plan reports service cost of \$90,000, a beginning PBO of \$1,000,000 with a 6% discount rate, and plan assets of \$800,000 with a 7% expected return. The actual return was only \$40,000. Amortization of prior service cost is \$10,000. The plan covers 1,400 workers. What is pension expense?

- A.** \$94,000
- B.** \$104,000
- C.** \$216,000
- D.** \$120,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

9.

A retailer leases delivery equipment for 5 years; the equipment's economic life is 8 years. There is no ownership transfer or purchase option, the present value of payments is 70% of fair value, and the equipment is standard. The lessor is a subsidiary of a major bank. How does the retailer account for the lease?

- A.** As a finance lease, since the lessor is a bank.
- B.** As an operating lease, with a right-of-use asset and lease liability on the balance sheet and straight-line lease cost.
- C.** As an operating lease, kept off the balance sheet.
- D.** As a finance lease, because the term is longer than 12 months.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

10.

A lab bought equipment for \$200,000 with no salvage value and a 10-year straight-line life. After 4 years, it decides the total life will be 8 years. The lab's director recently published a major study. What is depreciation in year 5?

- A.** \$20,000, after restating years 1–4 at \$25,000 each
- B.** \$25,000
- C.** \$30,000
- D.** \$20,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	____	

11. [TRANSFER — reversed stem / different variable]

A company changes its inventory method from LIFO to FIFO. How is the change reported?

- A.** Prospectively, starting this year only.
- B.** Retrospectively, by adjusting prior periods presented as if FIFO had always been used.
- C.** As a prior-period adjustment for an error.
- D.** Disclosure only.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	____	

12.

A printing company sold an old press with a book value of \$30,000 for \$42,000 cash. The buyer was a start-up in another state. Net income includes the gain. How does the sale appear on the statement of cash flows under the indirect method?

- A.** Subtract the \$12,000 gain in operating activities and show a \$42,000 investing inflow.
- B.** Show a \$30,000 investing inflow.
- C.** Add the \$12,000 gain in operating and show a \$42,000 investing inflow.
- D.** Show \$42,000 as an operating inflow.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	____	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer A Concept 1

An insurance company buys corporate bonds it may sell if interest rates change, but it does not plan to trade them actively. ~~The bonds are rated AA by two agencies.~~ At year-end their fair value is \$15,000 above cost. Where is the \$15,000 unrealized gain reported?

Target word: where the unrealized gain goes **Decides:** Might sell, not trading — available-for-sale.

A	Correct	Available-for-sale fair value changes go to OCI.
B	Adjacent category	That is held-to-maturity, which requires intent and ability to hold.
C	Camouflage	Credit rating does not decide classification or measurement.
D	Confusion set	That treatment is for trading securities.

2. Answer D Concept 2

A beverage company buys 30% of a bottler for \$600,000 and gains significant influence. The bottler, ~~which has 12 plants,~~ reports net income of \$200,000 and pays \$50,000 in dividends. What is the investment's carrying amount at year-end?

Target word: equity-method carrying amount **Decides:** $\$600,000 + 30\% \times \$200,000 - 30\% \times \$50,000$.

A	Adjacent category	Keeps the investment at cost, as if no significant influence.
B	Wrong stem number	Uses 100% of the bottler's income and dividends.
C	Dropped element	Leaves out the dividend reduction.
D	Correct	$\$600,000 + \$60,000 - \$15,000$.

3. Answer A Concept 2 · transfer

An investor owns 40% of an investee and uses the equity method. Its investment rose from \$400,000 to \$436,000 during the year, and the investee paid \$30,000 in dividends. What was the investee's net income?

Target word: solve for investee income **Decides:** Investor share of income = $\$36,000 + 40\% \times \$30,000 = \$48,000$.

A	Correct	$\$48,000 / 40\% = \$120,000$.
B	Inverted operation	Subtracts the dividend share instead of adding it back.
C	Dropped element	$\$36,000 / 40\%$ ignores that dividends reduced the account.
D	Adjacent category	That is the investor's share, not the investee's total.

4. Answer D Concept 3

A wireless carrier sells a phone with a two-year service plan for \$900. Sold separately, the phone is \$600 and the service is \$400. ~~The carrier's stores were recently remodeled.~~ How much revenue is allocated to the phone?

Target word: allocation to one obligation **Decides:** $\$900 \times \$600 / \$1,000$.

A	Adjacent category	Residual approach ($\$900 - \400); used only when standalone price is highly uncertain.
B	Dropped element	Uses the standalone price without allocating the discount.
C	Confusion set	That is the service allocation.
D	Correct	60% of the \$900 price goes to the phone.

5. Answer C Concept 3 • transfer

A \$1,200 contract bundles a product and a service. The product has a standalone price of \$900 and was allocated \$800. What is the standalone price of the service?

Target word: solve for a standalone price **Decides:** $\$800 / \$1,200 = \$900 / \text{total standalone}$, so total = \$1,350.

A	Dropped element	$\$1,200 - \800 is the service's allocated price, not its standalone price.
B	Confusion set	The total of standalone prices.
C	Correct	$\$1,350 - \$900 = \$450$.
D	Inverted operation	Subtracts the product's standalone price from the contract price.

6. Answer C Concept 4

At year-end a trucking firm's tax depreciation exceeds book depreciation by a cumulative \$60,000, which will reverse in future years. The current tax rate is 21%, and a 25% rate has been enacted for the reversal years. ~~The firm switched tax preparers this year.~~ What deferred tax amount is reported?

Target word: deferred tax balance **Decides:** Taxable temporary difference $\times$ enacted future rate.

A	Inverted operation	Extra tax deductions now mean more taxable income later — a liability.
B	Dropped element	The difference itself, not the tax on it.
C	Correct	$\$60,000 \times 25\%$ enacted future rate.
D	Wrong stem number	Uses the current 21% rate instead of the enacted reversal rate.

7. Answer D Concept 4 • transfer

A company reports a deferred tax liability of \$30,000 using an enacted rate of 25%. What is the cumulative temporary difference?

Target word: solve for the difference **Decides:** $\$30,000 \div 25\%$.

A	Confusion set	Deductible differences create deferred tax assets, not liabilities.
B	Inverted operation	Multiplies instead of dividing.
C	Wrong stem number	The tax amount, not the difference.
D	Correct	$\$30,000 / 0.25 = \$120,000$.

8. Answer B Concept 5

A manufacturer's pension plan reports service cost of \$90,000, a beginning PBO of \$1,000,000 with a 6% discount rate, and plan assets of \$800,000 with a 7% expected return. The actual return was only \$40,000. Amortization of prior service cost is \$10,000. ~~The plan covers 1,400 workers.~~ What is pension expense?

Target word: pension expense **Decides:** Use expected return: $90 + 60 - 56 + 10$.

A	Dropped element	Leaves out prior service cost amortization.
B	Correct	$\$90,000 + \$60,000 - \$56,000 + \$10,000$.
C	Inverted operation	Adds the expected return instead of subtracting it.
D	Confusion set	Uses the \$40,000 actual return instead of the \$56,000 expected return.

9. Answer B Concept 6

A retailer leases delivery equipment for 5 years; the equipment's economic life is 8 years. There is no ownership transfer or purchase option, the present value of payments is 70% of fair value, and the equipment is standard. ~~The lessor is a subsidiary of a major bank.~~ How does the retailer account for the lease?

Target word: lease classification and reporting **Decides:** No finance-lease test is met; term > 12 months.

A	Camouflage	Lessor identity does not decide classification.
B	Correct	Fails every finance test, but operating leases over 12 months are still recognized.
C	Adjacent category	That was the old rule; ASC 842 puts operating leases on the balance sheet.
D	Absolute language	Term length over 12 months triggers recognition, not finance classification.

10. Answer C Concept 7

A lab bought equipment for \$200,000 with no salvage value and a 10-year straight-line life. After 4 years, it decides the total life will be 8 years. ~~The lab's director recently published a major study.~~ What is depreciation in year 5?

Target word: depreciation after a change in estimate **Decides:** Prospective: remaining book value \$120,000 over 4 remaining years.

A	Inverted operation	Estimates change prospectively; prior years are not restated.
B	Adjacent category	\$200,000 / 8 applies the new life to original cost, as if restating.
C	Correct	$(\$200,000 - \$80,000) / 4 = \$30,000$.
D	Dropped element	Ignores the change in estimate.

11. Answer B Concept 7 · transfer

A company changes its inventory method from LIFO to FIFO. How is the change reported?

Target word: reverse: treatment for a principle change **Decides:** Change in accounting principle.

A	Inverted operation	That is the treatment for a change in estimate.
B	Correct	Changes in principle are applied retrospectively.
C	Confusion set	LIFO was acceptable; this is not an error correction.
D	Dropped element	The statements themselves must be adjusted.

12. Answer A Concept 8

A printing company sold an old press with a book value of \$30,000 for \$42,000 cash. ~~The buyer was a start-up in another state.~~ Net income includes the gain. How does the sale appear on the statement of cash flows under the indirect method?

Target word: reporting the gain and proceeds **Decides:** Gain \$12,000 removed from operating; full \$42,000 in investing.

A	Correct	Removes the non-operating gain from net income and reports all proceeds as investing.
B	Wrong stem number	Book value is not cash received.
C	Inverted operation	Gains are subtracted, not added.
D	Adjacent category	Proceeds from selling long-term assets are investing.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	8	
Wrong stem number	A figure copied from the prompt that is not the answer.	4	
Adjacent category	The right idea in the wrong bucket.	7	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	8	
Absolute language	Always, never, guarantee — where judgment applies.	1	
Confusion set	Every option is real; the test is exact role-matching.	6	
Camouflage	Answers a stem fact that was never the question.	2	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Debt investment classification	Trading securities: fair value changes go to net income. Available-for-sale: fair value changes go to other comprehensive income. Held-to-maturity: amortized cost, no fair value adjustments.	Sending AFS unrealized gains to net income, or marking HTM securities to fair value.	Management's intent: sell soon, maybe sell, or hold to maturity.
2	Equity method	With significant influence (usually 20–50%), the investment rises by the investor's share of investee income and falls by its share of dividends; dividends are not income.	Recording investee dividends as revenue or ignoring them in the carrying amount.	Ownership between 20% and 50% with investee income and dividends.
3	Revenue: allocating the transaction price	In a contract with several performance obligations, allocate the price by relative standalone selling prices, then recognize each part when its obligation is satisfied.	Recognizing each item at its standalone price, which overstates the total.	A bundled price lower than the sum of standalone prices.
4	Deferred income taxes	A taxable temporary difference (e.g., tax depreciation above book) creates a deferred tax liability measured at the enacted rate for the years it reverses.	Using the current rate when a different future rate is enacted, or calling it an asset.	Book and tax amounts differ, with current and future enacted rates.
5	Pension expense components	Pension expense = service cost + interest cost – expected return on plan assets ± amortization of prior service cost and gains/losses.	Using the actual return on plan assets instead of the expected return.	Service cost, discount rate, plan assets and both actual and expected returns.
6	Lease classification (lessee)	A lease is a finance lease if it meets any one test: ownership transfer, purchase option reasonably certain, major part of economic life, PV of payments substantially all of fair value, or specialized asset. Otherwise it is operating; both types go on the balance sheet (for terms over 12 months).	Believing operating leases stay off the balance sheet.	Lease term vs. economic life, PV vs. fair value, and transfer or purchase-option terms.
7	Accounting changes and errors	Change in estimate → prospective. Change in accounting principle → retrospective. Correction of an error → restate prior periods (prior-period adjustment).	Restating past years for a revised useful life.	A revised estimate, a switch of method, or a mistake found.

#	Concept	Rule	Trap	Tell
8	Gains and losses on the cash flow statement	Under the indirect method, subtract gains (add losses) on asset sales in operating activities; report the full cash proceeds in investing activities.	Leaving the gain in operating cash or reporting only the book value as the investing inflow.	An asset sold for more or less than its book value.

Course scope (public description): Intermediate Accounting III provides comprehensive coverage of investments, revenue recognition, accounting for income taxes, pension plans, and leases. This course completes the intermediate accounting journey. The course explores further advanced topics, including accounting changes and error analysis, full disclosure requirements in financial reporting, and interpretation of the statement of cash flows. Intermediate Accounting I and II are the prerequisites for this course.